EDMOND DE ROTHSCHILD

Market Update

March 24, 2020

EDMOND DE ROTHSCHILD, BOLD BUILDERS OF THE FUTURE.

Market Views

Hazardous investment environment in the near term

- Equity rewards for those prepared to look across the valley
  - Institutional mind-set to investing time-frame required – short termism remains dangerous
  - Sticking with the view that the conditions leading to this 'crash' will pass
  - Government and central bank interventions crucial to the outcome

- Parallels with 1987 and 2008-2009 are in abundance
  - Covid-19 was the catalyst. Now, tightening financial conditions and a lack of liquidity in the face of de-leveraging are investors' concerns

- Volatility in all asset classes to remain high for the next quarter at least
  - Volatility within asset classes and in the correlations between asset classes has been and is likely to stay unusually high. This presents significant challenges

Market Views

Maximum panic equates to maximum long term returns

- Once in a decade opportunities are close
  - Current share prices of high quality companies with strong management and low debt levels represent very attractive entry points for clients with high cash reserves. We recommend investing gradually and progressively in such equities from here over the next few months

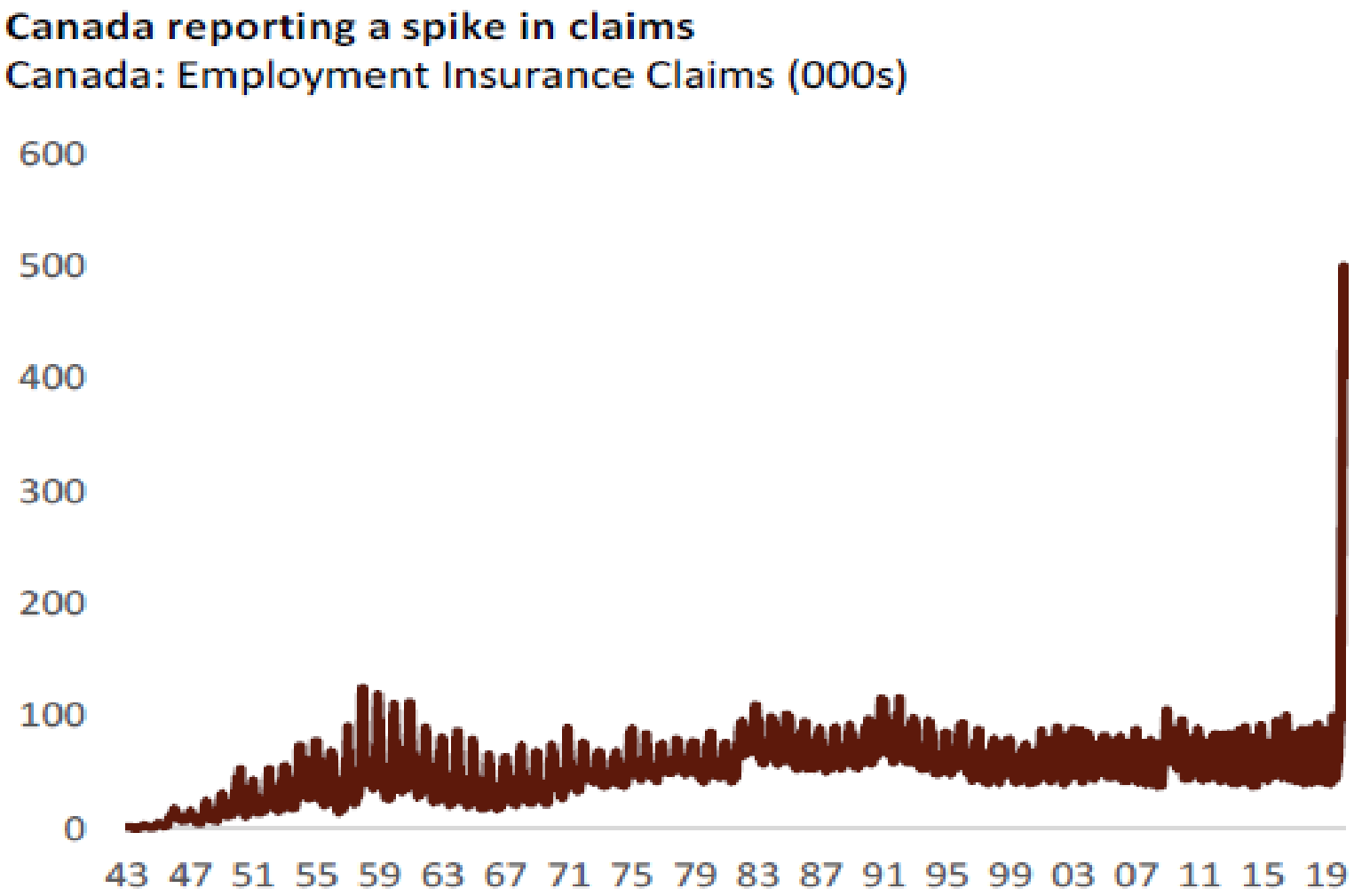
- Sticking with the 'growth' style, for now
  - In a world with no or negative growth in the coming quarters, identifying companies that can survive and grow will be the objective
  - We expect to complement that strategy with cyclical sectors and regions once we can properly assess the total aggregate extent of monetary and fiscal stimulus globally
  - We also need more certainty around the path the Covid-19 pandemic is taking and the expected time-frame for the period of peak infections. It's still too early to have any confidence on these points

Market Positioning

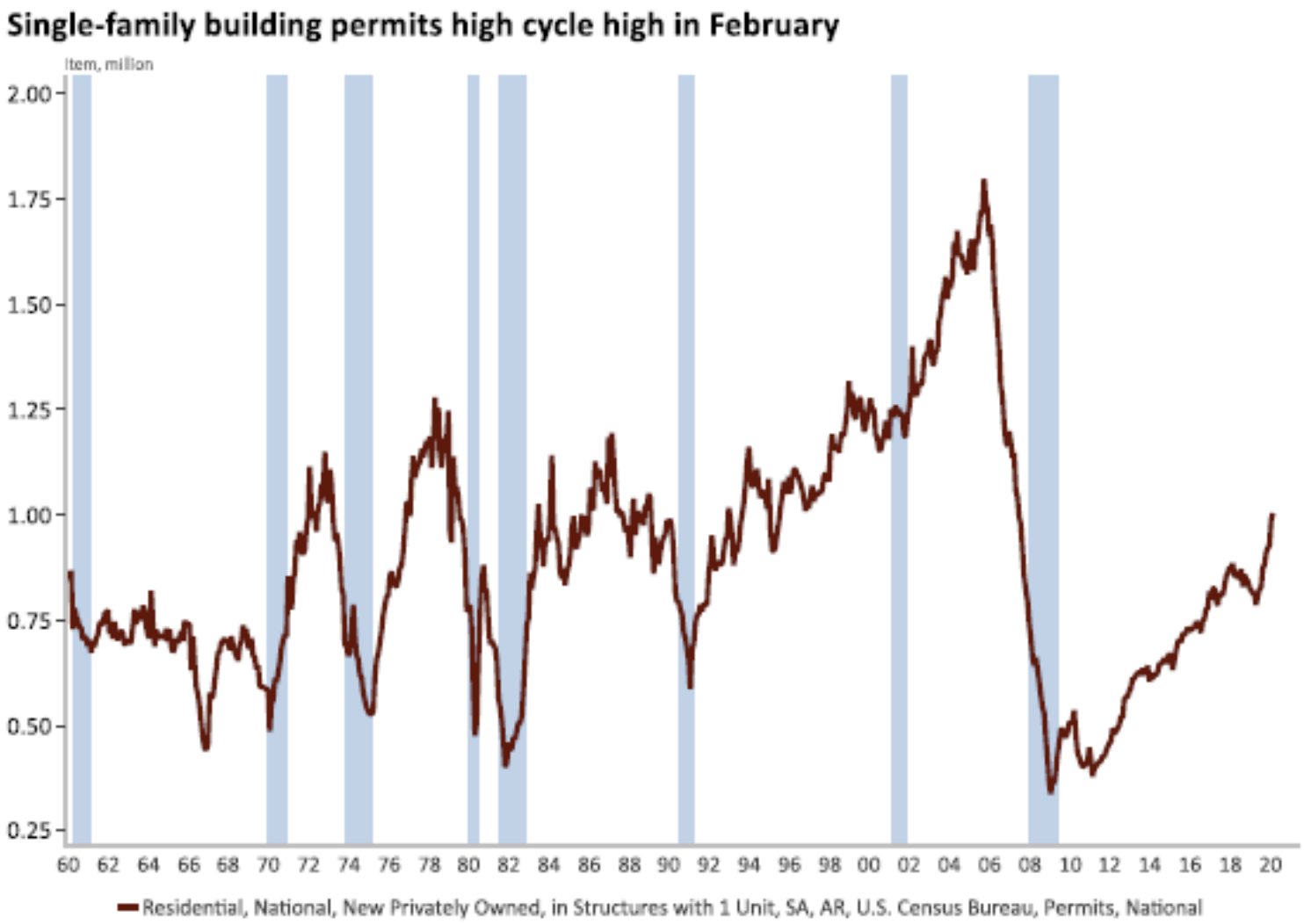
Keeping a lid on risk

- Violent asset price moves invalidating certain quant based strategies
  - Redemptions are exposing various funds with mismatched liquidity positions.
- Choice of investment vehicle has never been more important
  - Keeping our investment vehicles 'simple' and liquid
- Retaining a 'balanced' approach to portfolio construction and design
  - Not giving up on gold and other 'protective' investments such as the Swiss Franc, the Yen and sovereign debt (short to medium duration)
- Identifying stocks and sectors to buy.
  - High quality companies with long history of paying dividends are on the top list
  - Healthcare and technology amongst our favoured sectors
  - Preferring REITs to utilities in the defensive categories

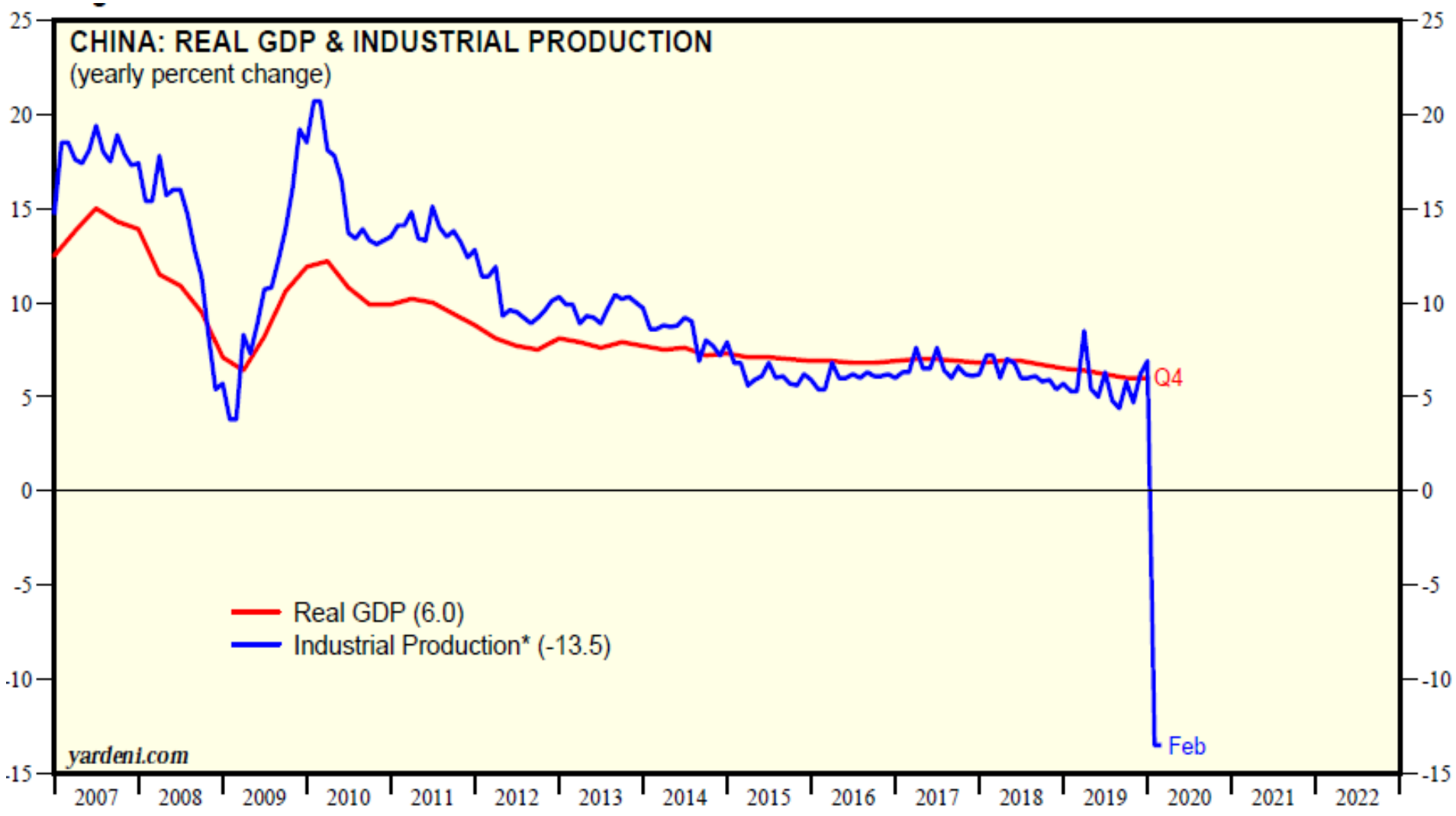
Big job losses ahead



US Housing boosting Q1 growth



China data leading



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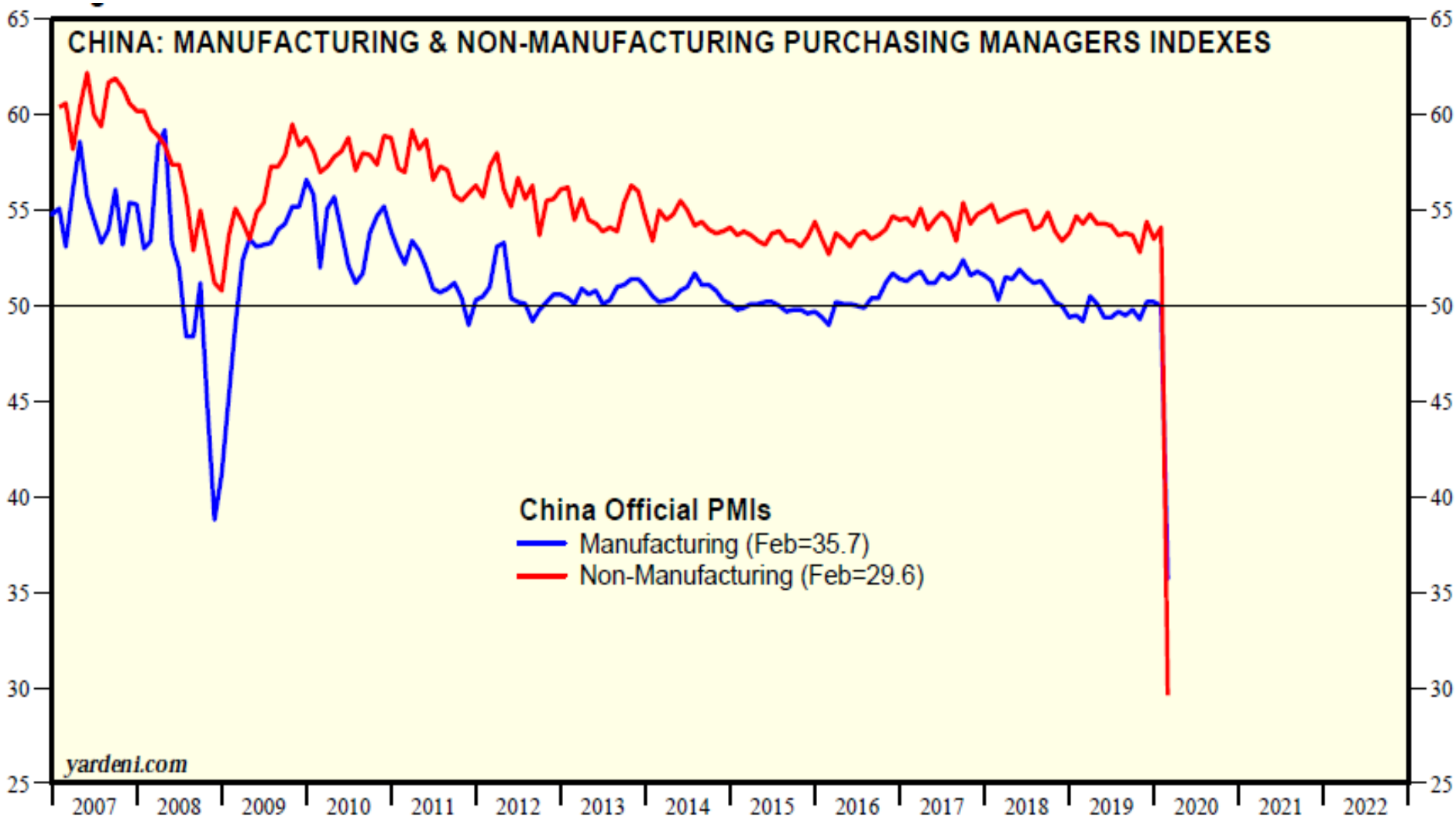
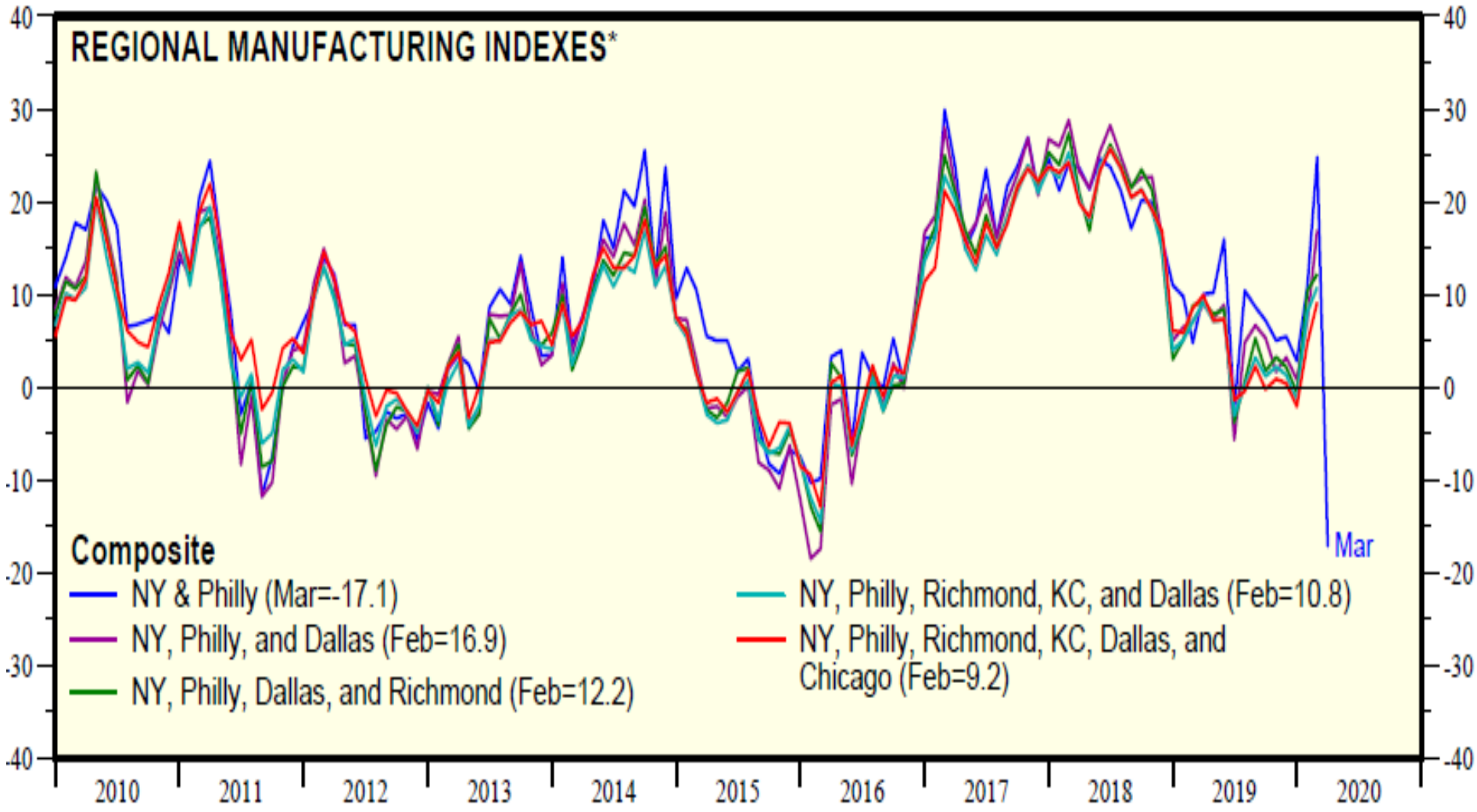
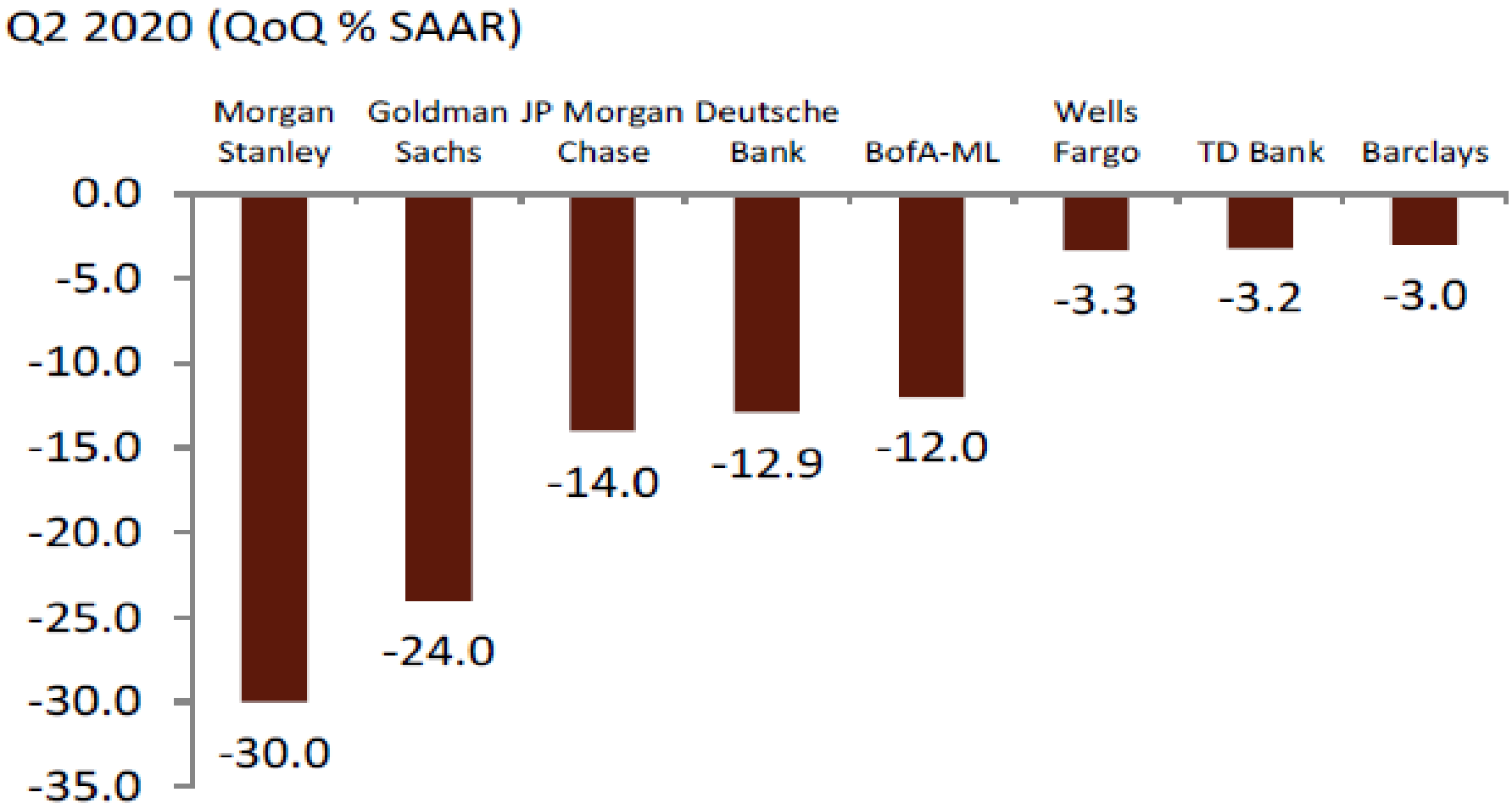


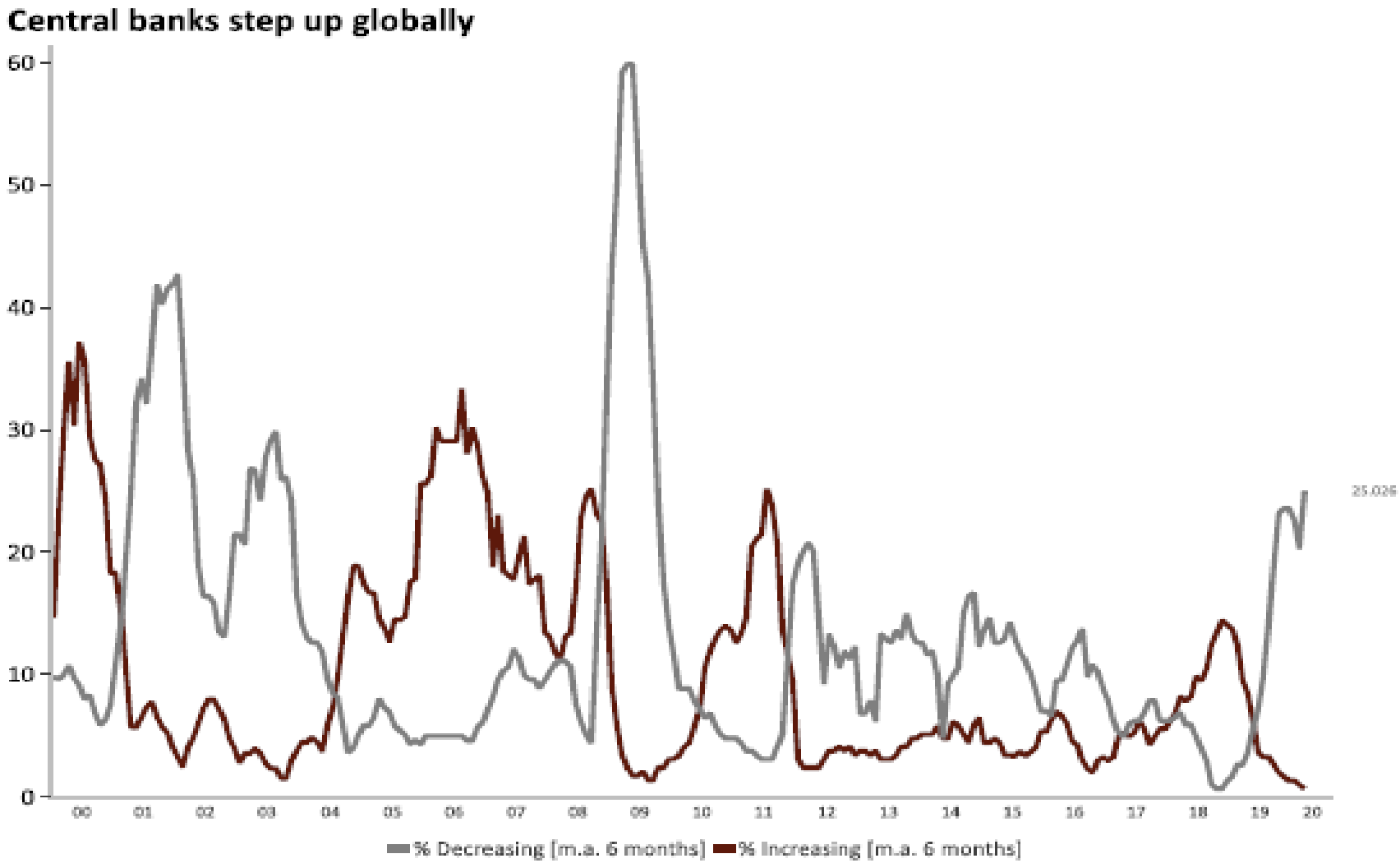
Early signs indicate the scale of the problem



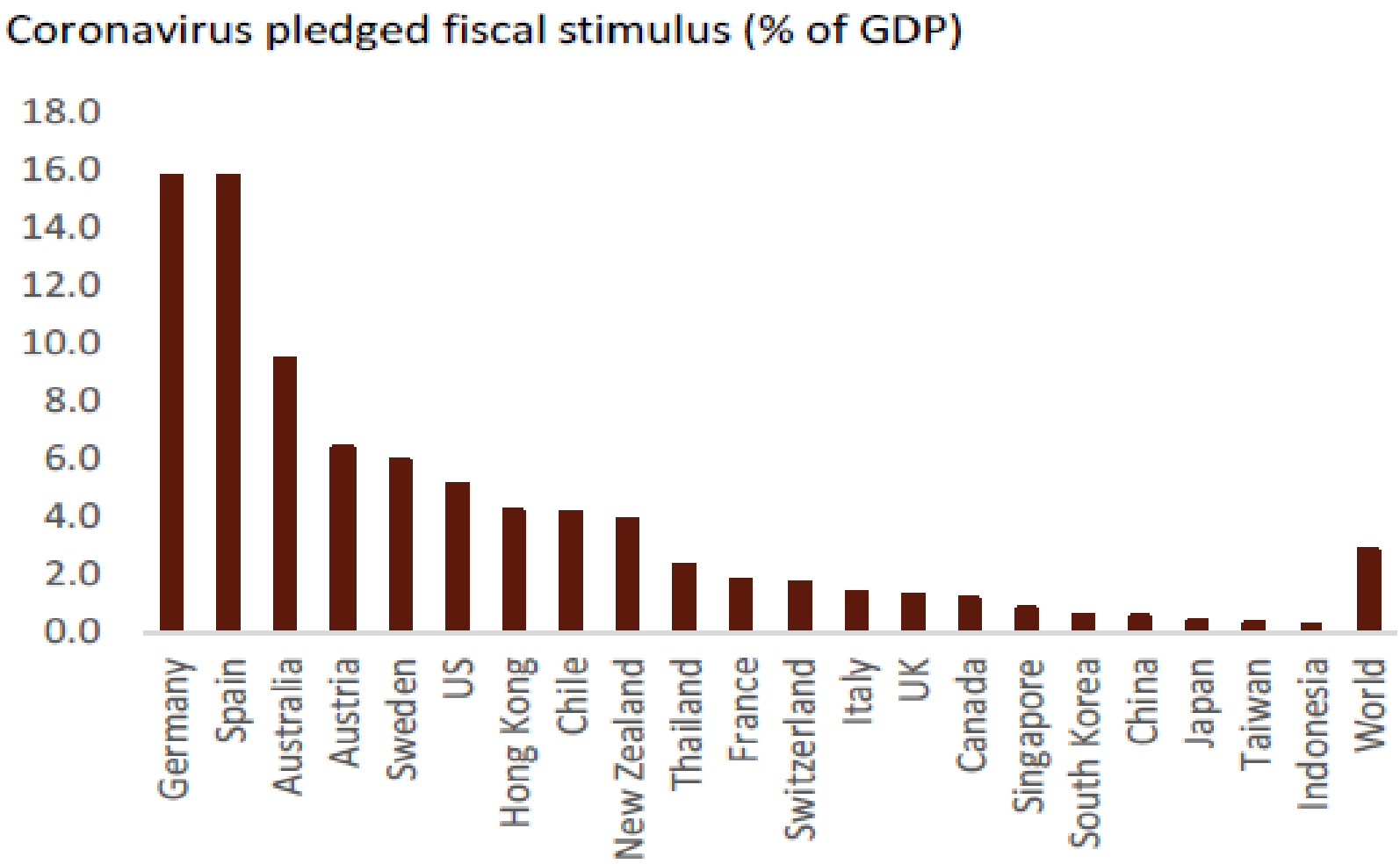
Massive divergence of views at this point



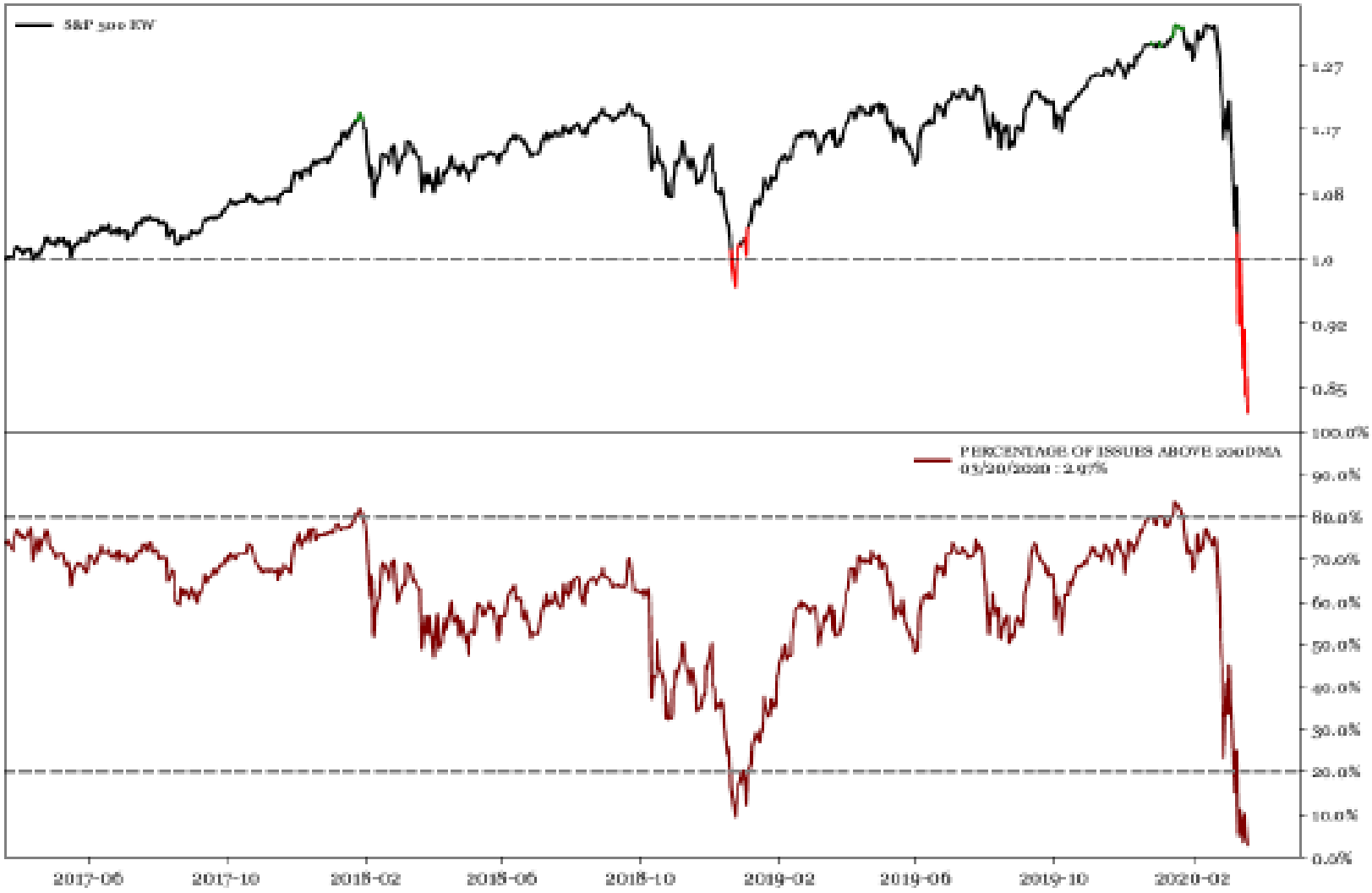
Authorities not idle



Authorities not idle

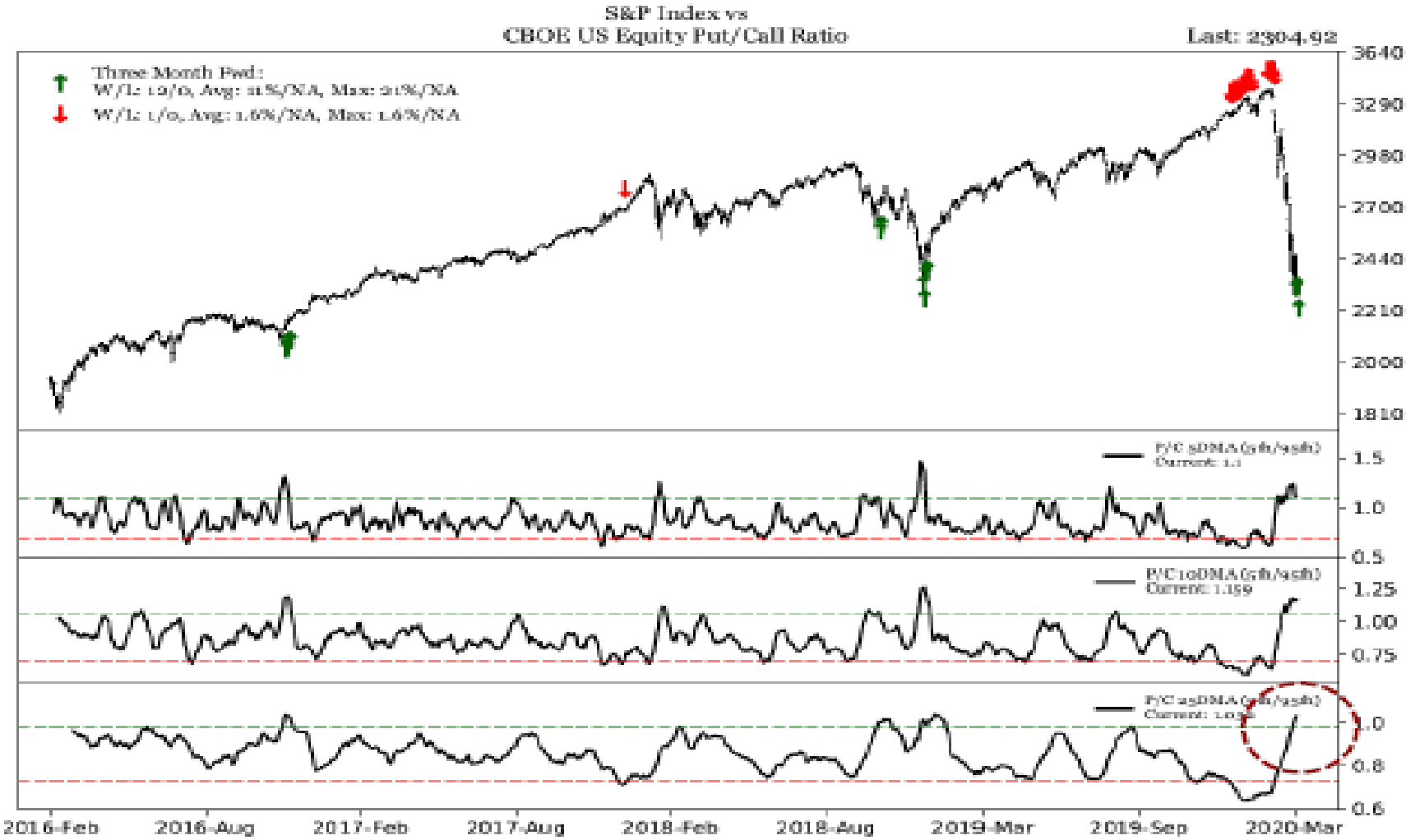


Extreme oversold conditions - % above 200 day MA

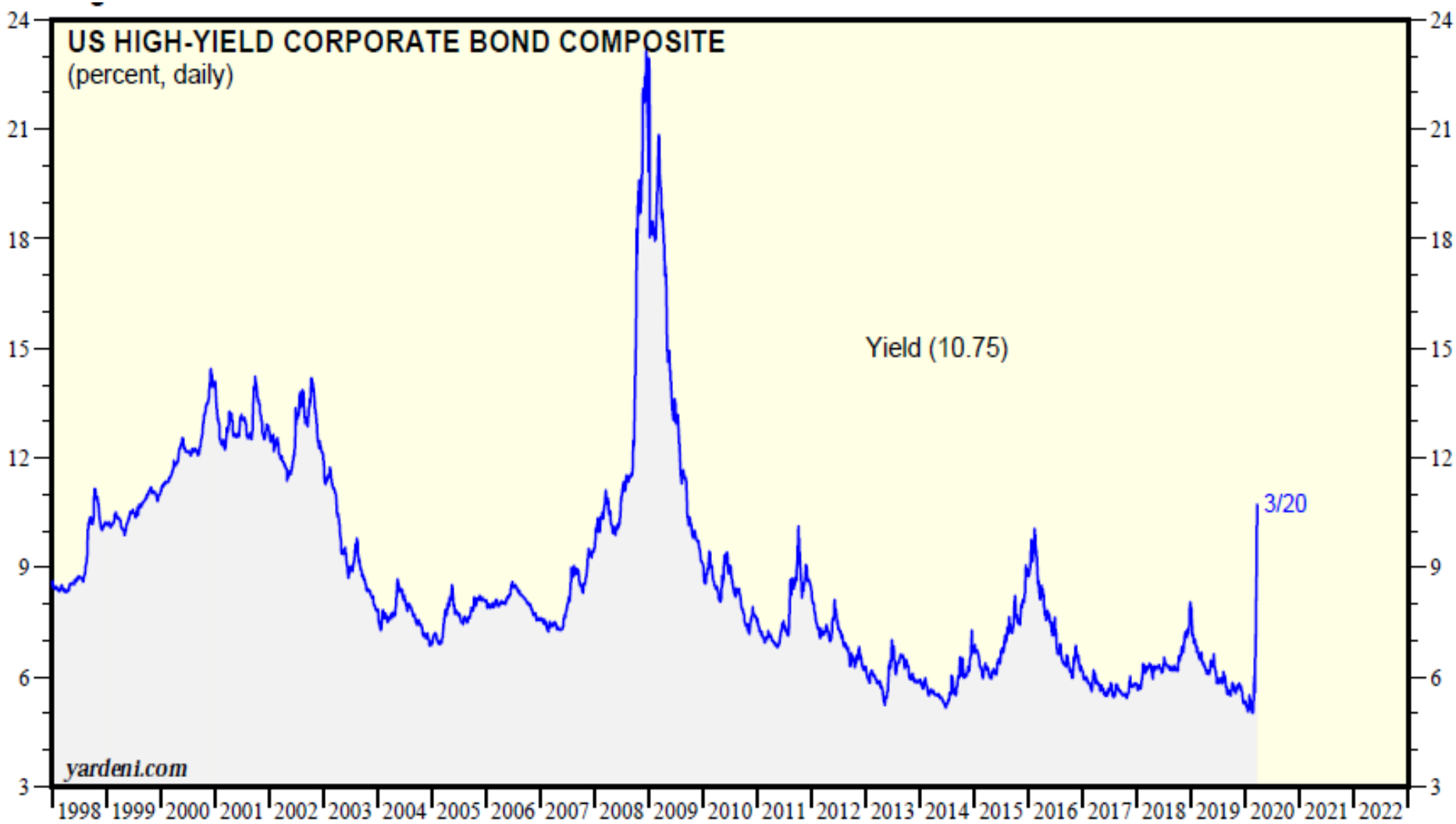


And in a historic context

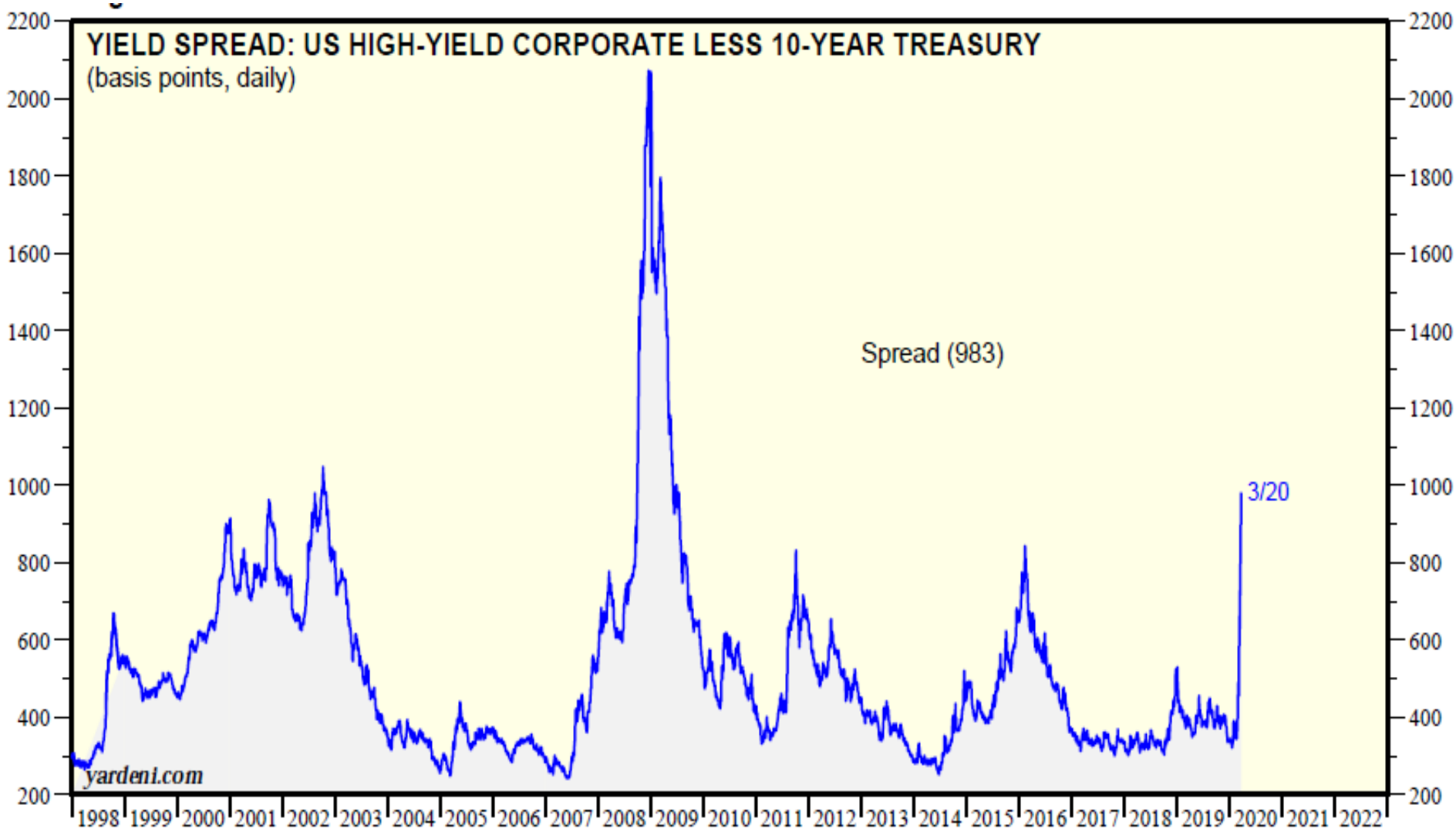
Put/Call ratios - 25 day ratios now showing panic



No time to act



Worst for 20 years bar 2008-09. Equal to 2002 pain



Victim of $ funding crisis? - Gold oversold in an uptrend

WHAT TO HOLD IN A PORTFOLIO

3 DIFFERENT SCENARIOS

INVESTMENT PREFERENCES

SCENARIOS & THEMATIC

DETERIORATES
Recession

FIXED INCOME

- Sovereign & High Quality Investment Grade
- Medium to Long Term Duration

EQUITIES

- Large Caps Domestic Low Beta
- High Dividend Defensive Equities
- *Sectors* - Utilities / Real Estate / Telecom / Health Care
- Hedging Strategies

ALTERNATIVE INV. & OTHER

- Gold
- L/S Equities / CTA / Global Macro Hedge
- Opportunistic Low Strike Reverse Convertibles
- Dual Currency Deposits (Gold)

CURRENCIES

- Safe Havens (USD / CHF / JPY)

CONTAINED
Low Growth

FIXED INCOME

- Medium Term Bonds (IG / HY / EM / Financial)

EQUITIES

- Large Caps & Domestic
- Quality Stable Earnings Growth
- High Dividend Defensive Stocks
- *Sectors* - Consumer Staples / Utilities / Real Estate / Health Care / Selective IT / Consumer Discretionary

ALTERNATIVE INV. & OTHER

- Gold
- L/S Equities
- Low Strike & Barrier Reverse Convertibles
- Dual Currency Deposits

CURRENCIES

- No FX Bias, Favor Reference Currency

OVERCOME
Recovery

FIXED INCOME

- Credit (HY / EM / Financials)

EQUITIES

- All caps
- Growth & Cyclical Equities
- *Sectors* - IT / Consumer Discretionary / Industrials / Materials / Financials

ALTERNATIVE INV. & OTHER

- Industrial Metals
- Barrier Reverse Convertibles & Outperformance Certificates
- Dual Currency Deposits

CURRENCIES

- EM & Commodity Related (AUD / CAD / NZD)

INVESTMENT PREFERENCES

SCENARIOS & PRODUCTS

DETERIORATES
Yield & Defensive

FIXED INCOME
- EdR Bond Allocation
- EdR Investment Grade Credit

EQUITIES
- EdR Equity US Solve
- EdR Equity Europe Solve

ALTERNATIVE INV. & OTHER
- EdR Physical Gold
- ERAAM L/S Equity (market neutral)
- Low Strike Reverse Convertibles on Indices

ALLOCATION
- EdR Income Europe
- Vision Global Adagio
- Prifund Defensive Strategy

CONTAINED
Yield & Quality Growth

FIXED INCOME
- EdR Bond Allocation
- EdR Emerging Credit

EQUITIES
- US Quality & Low Debt Certificate
- Europe Quality & Low Debt Certificate
- Vision Fund Europe Growth (managed by Fidelity)

ALTERNATIVE INV. & OTHER
- EdR Physical Gold
- Low Strike Reverse Convertibles
- Barrier Reverse Convertibles

ALLOCATION
- EdR Income Europe
- Vision Global Moderato
- Prifund Strategy

OVERCOME
Growth & Cyclicals

FIXED INCOME
- Millesima 2026
- EdR Emerging Credit
- EdR Financial Bonds

EQUITIES
- EdR US Growth
- EdR Euro Sustainable Growth
- Vision Fund Europe Opportunities (managed by Zadig)
- Vision Fund Swiss Equity (managed by LODH)
- EdR China
- EdR Big Data
- Cyber Security Certificate

ALTERNATIVE INV. & OTHER
- Barrier Reverse Convertibles
- Outperformance Certificates

ALLOCATION
- Vision Global Presto

HOW TO PLAY THE REBOUND

MAP

EQUITY – IDENTIFIED THEMES WITH ATTRACTIVE ENTRY POINTS

STAY@HOME

A selection of companies that should benefit from prolonged containment measures, having a business model that benefits from travel & movement restrictions.

CORONAVIRUS FIGHTERS

Defensive healthcare companies identified to be in the front line of the fight against Covid-19 pandemic, with diagnostic & testing equipment and/or potential curative drugs in their portfolios.

QUARANTINE WINNERS

Defensive set of companies producing basic consumer goods whose sales and revenues should not be hit by worldwide imposed quarantine measures.

BACK TO SCHOOL

Mix of companies whose sales and profits should see a rapid catch-up on a global scale once the containment measures are being alleviated.

SILICON VALLEY LEADERS

US communication services giants characterised by a huge pool of users/consumers, steady profit growth, notable pricing power & resilient consumer loyalty.

SWISS MEGA CAPS

Core allocation of the 3 biggest companies in Switzerland, that could be welcomed in any equity portfolio given their defensive & quality features.

MAP

EQUITY – IDENTIFIED THEMES WITH ATTRACTIVE ENTRY POINTS

Investment Theme	Investment Style	EdR Reco (19.03.2020)	Name	Volatility Type	Industry Group	Currency	Last Price	Dividend Yield in %	1W Perf	1M Perf	YTD Perf	1Y Perf	3Y Perf	5Y Perf	5-Year High	5-Year Low
Stay@Home Basket	Growth	*Hold*	Amazon.com Inc	2	Internet	USD	1'880.93	0.00	5.37	-12.64	1.79	4.65	29.93	37.76	2'170.22	367.35
	Quality/Defensive	*Buy*	AT&T Inc	2	Telecommunications	USD	31.15	6.71	-9.63	-19.32	-19.22	8.20	-4.51	4.26	43.47	27.36
	Growth/Quality	*Buy*	Comcast Corp	2	Media	USD	35.94	2.55	-8.62	-21.90	-19.71	-7.15	0.53	5.79	47.50	26.78
Coronavirus Fighters	Quality	*Hold*	Gilead Sciences Inc	2	Biotechnology	USD	78.55	3.46	11.02	18.40	22.08	26.30	8.10	-2.41	122.21	60.54
	Quality/Defensive	*Hold*	Roche Holding AG	2	Pharmaceuticals	CHF	298.80	3.12	8.63	-11.03	-2.06	13.54	9.16	5.00	351.15	207.70
	Quality/Defensive	*Buy*	Sanofi	1	Pharmaceuticals	EUR	75.01	4.33	2.18	-19.78	-16.30	-1.58	0.72	-0.60	100.65	63.21
Quarantine Winners	Quality/Defensive	*Hold*	Colgate-Palmolive Co	1	Cosmetics/Personal Care	USD	66.65	2.74	-3.55	-11.32	-2.59	4.91	-0.99	1.49	77.50	57.88
	Quality/Defensive	*Hold*	Danone SA	1	Food	EUR	59.62	3.67	10.90	-16.57	-19.32	-11.14	0.37	1.63	82.00	52.90
	Quality/Defensive	*Hold*	Procter & Gamble Co/The	1	Cosmetics/Personal Care	USD	110.83	2.70	-2.84	-12.44	-10.74	11.80	10.01	8.88	127.14	68.06
Back to school	Quality/Defensive	*Buy*	Coca-Cola Co/The	1	Beverages	USD	41.83	3.97	-13.70	-29.36	-23.79	-5.23	3.04	3.91	60.13	37.99
	Growth/Quality	*Buy*	NIKE Inc	2	Apparel	USD	70.34	1.33	-6.93	-31.21	-30.38	-17.98	7.45	7.86	104.58	49.28
	Quality/Defensive	*Buy*	Starbucks Corp	2	Retail	USD	61.41	2.72	-12.17	-30.69	-29.83	-12.71	5.33	6.60	99.11	46.51
Silicon Valley Leaders	Growth	*Hold*	Alphabet Inc	2	Internet	USD	1'115.29	0.00	-8.56	-26.54	-16.58	-8.88	9.54	14.80	1'526.69	516.83
	Growth/Quality	*Hold*	Apple Inc	2	Computers	USD	244.78	1.31	-11.94	-23.58	-16.44	31.81	21.81	16.12	327.20	90.34
	Growth	*Buy*	Facebook Inc	2	Internet	USD	153.13	0.00	-10.07	-28.64	-25.39	-7.44	3.05	12.80	223.23	77.46
Swiss Mega Caps	Quality/Defensive	*Buy*	Nestle SA	1	Food	CHF	97.30	2.87	8.11	-11.03	-7.14	5.46	11.05	8.06	113.20	67.30
	Quality/Defensive	*Buy*	Novartis AG	2	Pharmaceuticals	CHF	75.58	4.09	6.53	-17.16	-14.77	-4.60	7.80	0.44	95.82	60.24
	Quality/Defensive	*Hold*	Roche Holding AG	2	Pharmaceuticals	CHF	298.80	3.12	8.63	-11.03	-2.06	13.54	9.16	5.00	351.15	207.70
French Banking Champions	Value/Cyclical	*Buy*	BNP Paribas SA	2	Banks	EUR	28.68	10.87	-9.61	-46.15	-45.71	-30.36	-17.18	-7.54	68.89	26.40
	Value/Cyclical	*Buy*	Credit Agricole SA	3	Banks	EUR	6.52	10.40	-4.95	-50.42	-49.54	-37.33	-14.65	-9.11	15.68	6.08
	Value/Cyclical	*Hold*	Societe Generale SA	3	Banks	EUR	14.97	11.47	-12.72	-52.06	-51.75	-39.81	-26.98	-14.50	51.88	13.80
Global Tourism Recovery	Value/Cyclical	*Hold*	Accor SA	2	Lodging	EUR	27.44	3.83	13.06	-29.62	-34.28	-24.74	-7.80	-9.11	51.34	21.96
	Value/Cyclical	*Buy*	Booking Holdings Inc	2	Internet	USD	1'191.48	0.00	-16.17	-39.55	-41.98	-32.85	-12.27	0.21	2'206.09	973.80
	Value/Cyclical	*Hold*	Expedia Group Inc	3	Internet	USD	48.43	2.59	-30.45	-60.04	-55.04	-59.94	-27.22	-11.90	159.50	45.65
Helvetia Financial Dividend Payers	Value/Cyclical	*Buy*	Swiss Life Holding AG	3	Insurance	CHF	301.00	7.11	-8.93	-41.28	-38.04	-28.96	1.22	7.39	521.40	209.80
	Value/Cyclical	*Buy*	UBS Group AG	3	Banks	CHF	8.60	8.49	6.86	-33.94	-29.62	-26.54	-14.93	-10.10	22.50	7.46
	Value/Cyclical	*Buy*	Zurich Insurance Group AG	3	Insurance	CHF	296.60	7.22	2.24	-31.71	-25.31	-5.79	7.28	4.05	439.90	196.00

Volatility Type

1: below market average

2: market average

3: above market average

Favourite combinations in dark blue *– Sources: Bloomberg as of 20.03.2020*

HOW TO PLAY THE REBOUND

STRUCTURED PRODUCTS FOCUS

⊖ *RISK / RETURN* ⊕

YIELD ENHANCEMENT

› Abandon any upside performance in exchange of a guaranteed coupon and a conditional capital protection
› Benefit from highly volatile environment
› Markets are expected to move sideways over the lifetime of the product

PARTICIPATION

› Offer a participation in the performance of an underlying asset
› Offer a conditional capital protection provided the underlying is above a barrier level
› Market expectation is a directional move over the lifetime of the product

LEVERAGE

› Provide the opportunity to generate leveraged profits while making a relatively small initial investment.
› Can be used to hedge risks, in which case they reduce the risk of a portfolio.
› Market expectation is a strong up- or downwards move.

REVERSE CONVERTIBLE

› *Buying equities with a discount from current levels*

BARRIER REVERSE CONVERTIBLE

› *Protection barrier at maturity*

OUTPERFORMANCE CERT

› *Alternative to buy stock through convex payoff*

BONUS CERTIFICATE

› *Offer the best between performance and coupon*

WARRANT

› *Short Maturity*
› *Possible strong gearing effect*

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